

Olevel Economics

Chp:- Basic Economics

Topic:- Introduction to Basic
economics



By:-

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BASIC ECONOMICS

Economics is the study of the trade-offs involved when choosing between sets of decisions. It is often said that the central purpose of economic activity is the production of goods and services to satisfy consumer's needs and wants i.e. to meet people's need for consumption both as a means of survival but also to meet their ever growing demand for an improved lifestyle or standard of living.

Economic resources are limited, but human needs and wants are infinite. Indeed the development of society can be described as the uncovering of new wants and needs - which producers attempt to supply by using the available factors of production. The basic economic problem is about scarcity and choice since there are only limited amounts of resources available to produce the unlimited amount of goods and services we desire. Because resources in our world are limited and becoming more scarce and our desires are unlimited, we must make decisions and choices, which imply sacrifices; overall, the main economic problem facing all societies is how to allocate scarce resources.

Note:- Microeconomics studies individuals and business decisions, while macroeconomics analyzes the decision made by countries and governments.

Basic Economics

★ Unlimited wants

★ Limited resources →

★ Scarcity

★ Choice



Opportunity cost;
Real cost of choosing one
thing and not the another
i.e. the next best alternative
forgone



Economic Agents

Factors of production/inputs

★ Land :- Natural resource e.g. farmland

★ Labour :- Human resource e.g. Teacher

★ Capital :- Man-made resource e.g. machines

★ Enterprise :- Risk taker e.g. Owner

Payments

Rent

wages and salary

interest

Profits

Note :- consumer goods are categorized in Durable (last longer e.g. television) and non-Durable (food items). As consumers, we considered our standard of living raised with availability of choices in terms of consumer goods. On other hand capital goods help in producing consumer goods.

★ Consumers



consumption

2 goods



good y



-ve Relationship



good x



e.g.
coffee
vs
tea

★ Producers

Production



capital
goods



Maize vs Onions



consumer
goods



★ Government

Project selection



Project A
Health vs



-ve Relationship



Project B
Education



★ Workers



Extra
hours
of work



-ve Relationship



Leisure



Land:- The factor of production land refers not only to the site on which a factory is built or to the area where farming takes place, but also to natural resources in the widest sense, e.g. water and coal.

Labour:- The factor of production labour refers to both the physical and mental contribution of workers to the production process. Examples would therefore include the physical effort of a coal miner and the mental effort of an accountant. Labour is sometimes referred to as human capital.

Capital :- The factor of production capital refers to those items used in the production process that are human made. Examples include machines, tools, buildings and equipment.

Enterprise. The factor of production enterprise refers to the bringing together or co-ordinating of the other factors to achieve a certain purpose such as making a profit. This will involve taking risks.

Mobility of factors of production

It is possible to distinguish between two types of mobility. Geographical mobility refers to the movement of factors of production from one place or area to another. Occupational mobility refers to the movement from one use to another.

Land is relatively geographically immobile

↓ Impossible to move it from one area to other

It is occupationally mobile, e.g. forest to farming

Reclamation projects are expensive so the availability of funds will be an important influence on the occupational mobility of land from one use to another

Labour is relatively geographically mobile

↓ within a country

one country to other

Personal and family reasons can be an obstacle

↓ Is occupationally mobile if willing to learn new skills

Geographical mobility of labour can be influenced by the willingness of government and businesses to provide financial support to those willing to move from one area to another. Governments can provide and financially support a range of retraining and reskilling initiatives.

Capital is geographically mobile

Machines and equipment can be moved

Occupationally mobile

Some items may eventually be replaced with more modern versions

The geographical mobility of capital can be influenced by the funds available to businesses who want to move machinery and equipment from one area to other.

The extent of occupational mobility of labour will depend on how easy it is to use capital equipment in different industries.

Enterprise is geographically mobile

Entrepreneurs can move (area to area) or (country to country)

Occupationally mobile

Extent of such mobility will depend on requirement of specialist knowledge and experience

The geographical mobility of entrepreneurs can be influenced by the extent to which they are aware of the profit making opportunities in different parts of a country or in different countries.

Quantity and quality of the factors of production

The quantity of a factor of production is the amount of that factor available in a specific economy.

Land :- Quantity of land is relatively fixed
 Quality can be influenced by certain initiatives
 Use of crop rotation, fertilisers and improved irrigation systems.

Labour :- Population can be influenced by birth rate, death rate and net migration
 Changes in school leaving age, retirement age and changes in its attitude towards women working can influence labour force
 Quality can be improved by government initiatives in education and training
 Increasing school leaving age - Higher education courses

Capital :- Quantity will depend on the funds available to firms and government
 Quality will depend on the knowledge available to producers, especially technical knowledge and the extent of the application of new technologies.

Enterprise :- Quantity will be influenced by development of an enterprise culture
 Quality depends on availability of appropriate courses and networking opportunity

Questions

Marks : 46

- Q1 What is the difference between microeconomics and macroeconomics? (2)
- Q2 Define Basic economic problem? (4)
- Q3 Define factors of production? (8)
- Q4 Define opportunity cost? (2)
- Q5 Explain opportunity cost in terms of consumers, producers and government? (10)
- Q6 Explain the geographical and occupational mobility of factors of production? (10)
- Q7 Explain the quantity and quality of factors of production? (10)